



CONFIDENTIAL — FOR CLIENT DISCUSSION

LATE-STAGE PRIVATE MARKETS · COMPANY OVERVIEW

# Databricks

## The Data & AI Platform

### at \$188 Billion

An independent overview of Databricks' fundamentals, valuation trajectory, competitive position and route to liquidity — prepared for qualified investors evaluating late-stage private exposure.

#### VALUATION

**\$188B**

July 2026, Coatue-led

#### REVENUE RUN-RATE

**\$6.9B**

June 2026, +80% YoY

#### NET RETENTION

**> 140%**

Series L disclosure

#### IPO WINDOW

**2027+**

Per CEO, June 2026

#### Safeguard Securities, Inc.

Information as of 31 July 2026. This document is an overview for discussion purposes only and is not an offer to sell or a solicitation of an offer to buy any security. Please read the risk factors and disclaimer in full.

# 01 Executive Summary

Databricks has become one of the largest and fastest-growing private software companies in the world, with a **\$188 billion valuation** as of July 2026 and a **\$6.9 billion annualised revenue run-rate** growing more than 80% year-over-year. The company is free-cash-flow positive and, by its CEO's own account, does not need to raise public capital — which is precisely why the timing of any listing is now a matter of choice rather than necessity.

**IMPORTANT CHANGE SINCE EARLIER MATERIALS**

On **4 June 2026**, CEO Ali Ghodsi publicly stated that 2026 is "*a terrible year to go public*," citing an IPO market absorbing very large offerings from SpaceX, Anthropic and OpenAI. He has indicated a listing **no earlier than 2027**. Any prior material describing a 2026 Databricks IPO should be treated as superseded. The investment question today is a **late-stage private** one, not an IPO-timing one.

## What this means for investors

- **The fundamentals strengthened while the listing moved out.** Valuation rose roughly 40% from \$134B to \$188B in seven months, and the run-rate grew from \$4.8B to \$6.9B.
- **Liquidity is the stated reason for an eventual IPO** — creating a market mechanism for employee equity — rather than a need for growth capital.
- **The holding period is longer than previously framed.** Exposure taken today should be underwritten against a 2027-or-later liquidity event, with the associated illiquidity and mark-to-market uncertainty.

# 02 Company Snapshot

|                                       |                                     |                                       |                                           |
|---------------------------------------|-------------------------------------|---------------------------------------|-------------------------------------------|
| <b>\$188B</b><br>VALUATION (JUL 2026) | <b>\$6.9B</b><br>REVENUE RUN-RATE   | <b>+80%</b><br>YOY GROWTH             | <b>&gt; 140%</b><br>NET REVENUE RETENTION |
| <b>20,000+</b><br>CUSTOMERS WORLDWIDE | <b>700+</b><br>CLIENTS AT \$1M+ ARR | <b>&gt; 60%</b><br>OF THE FORTUNE 500 | <b>80%+</b><br>GROSS MARGIN               |

Databricks operates a unified data and AI platform spanning data engineering, warehousing, machine learning and business intelligence. Its differentiation against point solutions is breadth: rather than competing narrowly with a data warehouse or an ML platform, it consolidates the stack — which supports both higher net retention and a premium multiple relative to peers.

### 03 Valuation & Funding Trajectory

| DATE        | ROUND     | RAISED | VALUATION | LEAD / NOTE                                                  |
|-------------|-----------|--------|-----------|--------------------------------------------------------------|
| Sep 2025    | Series K  | ~\$1B  | >\$100B   | ~20× oversubscribed                                          |
| 16 Dec 2025 | Series L  | >\$4B  | \$134B    | Insight Partners, Fidelity, J.P. Morgan AM                   |
| Jan 2026    | Debt      | \$1.8B | —         | JPMorgan-led; total debt & investments >\$7B                 |
| 16 Jul 2026 | Strategic | ~\$3B  | \$188B    | Coatue-led; term sheet signed, expected to close this summer |

The July 2026 round represents an approximate **40% step-up in seven months**. Proceeds are directed at Unity AI Gateway (multi-model governance), Genie (AI coworker) and Lakebase (serverless Postgres for AI agents).

**VALUATION BASIS**

The \$188B figure reflects a signed term sheet expected to close during summer 2026. Private company valuations are negotiated between issuer and investors — they are not market-clearing prices, may not be supported in a public offering, and can be revised downward.

### 04 Financial Performance

| PERIOD   | REVENUE RUN-RATE | YOY GROWTH | SOURCE OF DISCLOSURE                   |
|----------|------------------|------------|----------------------------------------|
| Dec 2025 | \$4.8B           | >55%       | Series L announcement                  |
| Feb 2026 | \$5.4B           | >65%       | Company press release                  |
| Jun 2026 | \$6.9B           | >80%       | Company comments to analysts, via CNBC |

Growth *accelerated* through the period rather than decaying with scale — an unusual profile at this revenue level and a central part of the investment case. Supporting quality indicators: AI products surpassed a \$1B run-rate; the Data Warehousing product surpassed \$1B within four years of general availability; and net retention has been sustained above 140%.

Management has stated the company is **free-cash-flow positive**. This materially reduces financing risk and is the reason the IPO decision is discretionary.

## 05 Growth Vectors & Product Strategy

CEO Ali Ghodsi has publicly framed a path toward becoming a trillion-dollar company through three vectors:

| VECTOR                | THESIS                                                                      | EVIDENCE TO DATE                                                                                                                                         |
|-----------------------|-----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lakebase              | Serverless Postgres for AI agents; attacks the operational database market. | GA Feb 2026 with autoscaling, Postgres 17, pgvector, up to 8TB per instance. Grew at roughly twice the pace of Data Warehousing in its first six months. |
| Agent Bricks          | Enterprise AI agents operating on proprietary customer data.                | Underpinned by the Tecton acquisition — sub-10ms feature serving for fraud, personalisation and real-time inference.                                     |
| AI-authored workloads | Agents, not humans, provision infrastructure.                               | Company reports ~80% of Neon databases created automatically by AI agents.                                                                               |

### Acquisition programme

- **BladeBridge** (Feb 2025) — AI-assisted migration from Snowflake and Teradata.
- **Neon** (May 2025, ~\$1B) — serverless Postgres; became the Lakebase foundation.
- **Tecton** (Aug 2025, ~\$900M) — real-time ML feature store.
- **Antimatter** and **SiftD** — security capability, supporting the Lakewatch SIEM launch (Mar 2026, private preview).

## 06 Competitive Position & Partnerships

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Databricks positions itself as model-neutral infrastructure — partnering across frontier model providers rather than committing to one:

- **OpenAI** (Sep 2025) — multi-year partnership valued at over \$100M, making GPT-5 natively available to Databricks' enterprise base. Reported as OpenAI's first formal integration with a business-focused product vendor.
- **Google Gemini 3** (Nov 2025) — native, governed availability on-platform.
- **Anthropic** — Claude models power Lakewatch threat detection, with early users including Adobe, Dropbox and National Australia Bank.

Against Snowflake, Palantir and MongoDB — each strong in a narrower lane — the platform breadth argument is what supports the multiple. The cybersecurity entry via Lakewatch expands the addressable market but places Databricks against entrenched incumbents in Splunk and Microsoft.

## 07 Path to Liquidity

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### FEBRUARY 2025

CEO confirms the company is structurally "IPO-ready" — board, audit and financial reporting in place.

### DECEMBER 2025

Ghodsí declines to rule out a 2026 listing in a CNBC interview.

### JANUARY 2026

\$1.8B debt facility led by JPMorgan; total debt and investments exceed \$7B.

### 4 JUNE 2026

**Position reverses.** Ghodsí tells Bloomberg 2026 is "a terrible year to go public," pointing to 2027 at the earliest. Cited reason: SpaceX, Anthropic and OpenAI absorbing IPO capital and attention.

### 16 JULY 2026

\$188B strategic round led by Coatue — private capital raised in place of a listing.

### AHEAD

No S-1 has been publicly filed and no confidential filing has been announced. A confidential filing typically precedes a public listing by 6–12 months, and a public S-1 by roughly 30–45 days.

### Indicators to monitor

- Confidential or public S-1 filing — check the SEC EDGAR database directly.
- Lead underwriter mandates (historically Goldman Sachs, Morgan Stanley or JPMorgan for technology mega-offerings).
- Absorption of the 2026 mega-IPO pipeline, which is the CEO's stated reason for waiting.
- Continued run-rate disclosures and any change in the free-cash-flow position.

## 08 Investment Considerations

### Supporting the case

- **Accelerating growth at scale** — 55% → 65% → 80% YoY through 2026.
- **High-quality revenue** — subscription model, >140% net retention, 80%+ gross margin.
- **Free cash flow positive** — no financing dependency.
- **Platform breadth** — consolidation of data engineering, warehousing, ML and BI.
- **Model neutrality** — partnerships across OpenAI, Google and Anthropic.
- **Institutional validation** — Insight, Fidelity, J.P. Morgan AM, Coatue, a16z, BlackRock, Temasek, GIC.

### Weighing against

- **Extended and uncertain holding period** — no listing before 2027 on current guidance, and no filing has been made.
- **Valuation risk** — \$188B is a negotiated private mark, not a market-clearing price.
- **Sector de-rating** — software multiples compressed sharply during 2026; a listing may price conservatively against the private mark.
- **Illiquidity** — secondary interests are hard to exit and access is not guaranteed.
- **Competitive intensity** — hyperscalers, Snowflake, and entrenched incumbents in the new security segment.
- **Execution and key-person risk** — including AI leadership transition following Naveen Rao's departure in September 2025.
- **Economic sensitivity** — enterprise technology budgets contract in downturns.

## 09 Routes to Exposure

Databricks equity is not publicly traded. The routes below are described for information only; availability, eligibility and pricing vary and none is guaranteed.

| ROUTE                                                                  | ELIGIBILITY          | PRINCIPAL CONSIDERATIONS                                                                                                                                                                                                    |
|------------------------------------------------------------------------|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Secondary marketplaces</b><br>(e.g. EquityZen, Forge Global, Hiive) | Accredited investors | Purchases of existing employee or early-investor interests. Pricing is negotiated and may diverge materially from the primary round mark. Allocations are intermittent. Transfer restrictions and issuer consent may apply. |
| <b>Pooled vehicles</b><br>(e.g. funds holding private positions)       | Varies by vehicle    | Lower minimums, but exposure is indirect and diluted by other holdings. Fee layering and vehicle-level lock-ups apply.                                                                                                      |
| <b>Indirect public proxies</b>                                         | All investors        | Listed shareholders and partners (e.g. Microsoft, NVIDIA) carry only fractional, heavily diluted exposure. Not a substitute for direct exposure.                                                                            |

### BEFORE PROCEEDING

Private placements and secondary transactions are restricted, illiquid and may result in total loss. Minimum investment requirements apply. Secondary pricing does not predict any future listing price. Eligibility must be verified, and each opportunity assessed on its own documents. Discuss suitability with your Safeguard Securities, Inc. representative and your own tax and legal advisers.

## 10 Sources

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All figures are drawn from company disclosures and reputable financial media, as follows:

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2. Bloomberg — *Coatue Leads Databricks Funding Round at \$188 Billion Valuation* (17 Jul 2026). [bloomberg.com/news/articles/2026-07-17/coatue-leads-databricks-funding-round-at-188-billion-valuation](https://bloomberg.com/news/articles/2026-07-17/coatue-leads-databricks-funding-round-at-188-billion-valuation)
3. Bloomberg — *Databricks CEO Plans to Avoid IPO During Year of Huge Offerings* (4 Jun 2026). [bloomberg.com/news/articles/2026-06-04/databricks-ceo-plans-to-avoid-ipo-during-year-of-huge-offerings](https://bloomberg.com/news/articles/2026-06-04/databricks-ceo-plans-to-avoid-ipo-during-year-of-huge-offerings)
4. Databricks — *Grows >55% YoY, Surpasses \$4.8B Revenue Run-Rate, Raising >\$4B Series L at \$134B Valuation* (16 Dec 2025). [databricks.com/company/newsroom/press-releases/databricks-surpasses-4-8b-revenue-run-rate-growing-55-year-over-year](https://databricks.com/company/newsroom/press-releases/databricks-surpasses-4-8b-revenue-run-rate-growing-55-year-over-year)
5. Databricks — *Grows >65% YoY, Surpasses \$5.4 Billion Revenue Run-Rate, Doubles Down on Lakebase and Genie* (Feb 2026). [databricks.com/company/newsroom/press-releases/databricks-grows-65-yoy-surpasses-5-4-billion-revenue-run-rate](https://databricks.com/company/newsroom/press-releases/databricks-grows-65-yoy-surpasses-5-4-billion-revenue-run-rate)
6. CNBC — *Databricks raises capital at \$134 billion valuation in latest funding round* (16 Dec 2025). [cnbc.com/2025/12/16/databricks-funding-valuation.html](https://cnbc.com/2025/12/16/databricks-funding-valuation.html)
7. TechCrunch — *Databricks hits \$188B valuation, extending its run as AI's favorite second act* (17 Jul 2026). [techcrunch.com/2026/07/17/databricks-hits-188b-valuation-extending-its-run-as-ais-favorite-second-act/](https://techcrunch.com/2026/07/17/databricks-hits-188b-valuation-extending-its-run-as-ais-favorite-second-act/)
8. TechCrunch — *Databricks raises \$4B at \$134B valuation as its AI business heats up* (16 Dec 2025). [techcrunch.com/2025/12/16/databricks-raises-4b-at-134b-valuation-as-its-ai-business-heats-up/](https://techcrunch.com/2025/12/16/databricks-raises-4b-at-134b-valuation-as-its-ai-business-heats-up/)
9. Reuters (via TradingView) — *Databricks secures funding round at \$188 billion valuation* (Jul 2026).
10. Inc. — *"A Terrible Year to Go Public": Why This Massive AI Startup Is Resisting the IPO Rush* (Jun 2026).
11. U.S. Securities and Exchange Commission — EDGAR full-text search, for filing status verification. [sec.gov/edgar/search/](https://sec.gov/edgar/search/)



## 11 Important Disclosures

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